4.4 Recession, Hyperinflation, and Stagflation

Video: Recession, Hyperinflation, and Stagflation (Crash Course Economics)

Hyperinflation in History

To pay massive _____ after World War I, Germany printed a lot of its currency, the Mark. By November 1923, it took a trillion marks to buy one U.S. dollar.

In Zimbabwe, starting in 2007, prices nearly doubled every 24 hours. In 2009 the government issued the hundred trillion dollar bill.

One definition of _____ is a monthly inflation rate of over 50%. The worst case in history was _____ in 1946.

Why Hyperinflation Is So Bad

It erodes _____; people's retirement savings were wiped out.
It forces people to spend as quickly as possible rather than save or lend, so there is no money to fund new businesses.
Uncertainty limits foreign investment and trade.

How Hyperinflation Happens

The root problem in Germany and Zimbabwe was that the government paid its bills by _____.

An increase in the _____ can increase output, increase prices, or both. Once output is maximized, more money means more inflation.

The number of times a dollar is spent per year is the _____. When people expect higher prices, they spend faster, creating a _____.

Germany ended hyperinflation by replacing the mark with a new currency. Zimbabwe abandoned its currency; citizens now use U.S. dollars or neighboring currencies.

Depressions and Recessions

A _____ is when real GDP falls and keeps falling for a long period of time. After the 1930s, economists started using the word _____ for downturns.

Central banks can use _____ to speed up the economy. For example, the Federal Reserve can lower _____ to encourage loans.

If people expect further price declines, they wait to buy, spending and velocity fall, and prices keep dropping. This is called a _____.

In the Great Depression, unemployment rose to 25%. Getting out took nearly a decade, ended by the massive government spending of World War II.

Stagflation

_____ is when output slows or stagnates at the same time that prices rise: stagnant economy plus inflation.

The U.S. had stagflation in the 1970s after a series of _____, including a rise in _____.

In the early 1980s, Federal Reserve Chairman _____ cut the money supply and raised interest rates. Unemployment reached ten percent, but inflation and inflation expectations stopped rising.

Situation	Output	Prices
Hyperinflation	Pushed to capacity	Rise extremely fast
Depression / deep recession	Falls for a long time	Fall
Stagflation	Slows or stagnates	Rise

Big idea: the economy is made up of collective decisions of individuals, so our _____ matter. Policies need to focus on creating _____.

Think About It

The video says that if enough people fear a recession, they will spend less and cause one. How might news about the economy change what your family decides to buy or save?

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